Q11

The responsibilities of the CFO and treasurer are complementary. The CFO is responsible for financial management at a strategic level, while the treasurer is a senior manager who implements strategy. [1]

The treasurer must be kept aware of changes to strategy and other strategic decisions, such as the need to raise large loans because it will be the treasurer's responsibility to supervise the preparation of documentation and the negotiation with lenders. [1]

Similarly, the CFO will rely on the treasurer to provide warnings of any serious problems, such as anticipated cash shortages in the foreseeable future. [1]

The CFO has a much wider remit than finance, being a member of the board. Directors have a duty to participate in strategic planning of all aspects of the business. [1]

The treasurer focusses on financial management and enables the CFO to devote time and attention to other aspects of the business. [1]

[Maximum 5]

[Total 5]

Commentary:
This question was answered well by many candidates. Candidates were able to discuss the roles of the CFO and treasurer well and understood that the roles were complementary which was very good.

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